



Case Interviewing

Career Advising and Planning Services
2010-2011

Why the case interview?

Case interviews simulate real world experiences



“We evaluate you on your ability to think about and structure an approach to solving a business problem, not on whether you get the “right” answer. A good case interview should be fun and through provoking” - **Bain**

“Consultants are continually called upon to analyze complex, often ambiguous problems and scenarios and develop solutions. The case interview is designed to simulate this thought process” – **Oliver Wyman**

“Demonstrate your ability to structure thinking, respond to complex or ambiguous problems, and reach sound conclusions with limited facts in a short time. From your side the case study should give you a real insight into the type of work that our firm does. If you enjoy the case discussion with your interview, it’s likely that you will enjoy working at our firm” - **McKinsey**

'Cracking' a case, Step 1: Preparation



- PRACTICE at least 20 cases with friends, colleagues, people you know in consulting, and through CAPS (attend case workshops). Reading cases is not appropriate preparation
- Come relaxed and with a pen and paper to take notes and do brief calculations
- Research the interviewing company -it will demonstrate knowledge of the firm and might give you a sense of the flavor of the case question.
- Get in the right mindset
 - There is no one 'right' answer to cases. Firms want to see how you think
 - Don't over prepare; every interview is different and no set formula will do it all
 - Think of your interviewer as a partner in solving the case

'Cracking' a case, Step 2: Take your time



- Take a couple of minutes to gather your thoughts, jot down preliminary ideas, and formulate intelligent questions; Nobody is impressed by instantaneous answers
- LISTEN TO THE QUESTION and figure out what the interviewer is asking. Repeat the question back or paraphrase to be sure you are clear on the concepts
- Ask clarifying questions. If you are tempted to make an assumption, STOP! Ask the interviewer first for information that they have
- If you still feel confused about the industry, put yourself in the shoes of the industry. For example, if you are solving a problem about the pharmaceutical industry, think about the last time you filled a prescription and work your way back from there

‘Cracking’ a case, Step 3: Structure



- Devise a coherent structure for approaching, organizing, and breaking down the case
 1. State your assumptions and the facts you were given
 2. Outline for the interviewer how you are thinking about the problem
 3. Stick to your structure and move methodically, addressing issues point-by-point. Know some basic business structures to fall back on
 4. Prioritize your responses instead of stating a laundry list of options

‘Cracking’ a case, Step 4: Ask questions



- Ask questions to clarify the issues, scope of the case, or time frame early on; these are often the “case crackers”
- All the data are NOT given immediately. The interviewer has the information you need. You’ll never know it’s there until you ask for it
- Let the interview lead you in the right direction by listening to the information provided, even if this means changing course

‘Cracking’ a case, Step 5: Show your thinking



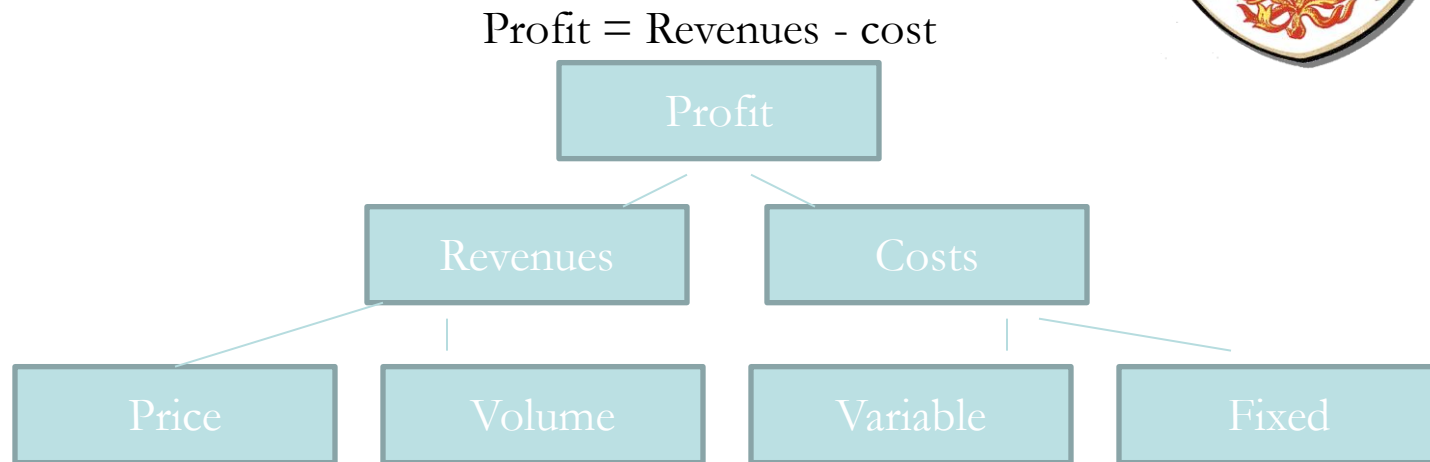
- Be explicit when making assumptions as you walk through your structure. Why do you believe your assumptions are valid?
- Formulate hypotheses that might explain the problem. Express them to the interviewer
- Walk your interviewer through your thought process and equations/math as you go through them. Show calculations
- Simplify your assumptions and calculations when possible: use round numbers. Don't overly complicate the question or your methodology

‘Cracking’ a case, Step 6: Synthesize



- State answers to your hypotheses as you go and the rationale. Stay away from caveats like ‘maybe’ or ‘possibly’
- Maintain the context of the question: what is the macro context of your plan? What question are you answering? Are you spending time and effort on the key elements that answer the question? It is likely you will be asked to summarize the problem, your findings so far, and what other questions are outstanding at some point during the case

Potential business frameworks - profitability



Related concepts:

- Breakeven units = Fixed costs / (unit selling price – variable cost)
- Margin = Sales price – variable cost
- Pricing: Cost plus pricing vs. variable based pricing vs. target return pricing
- Elasticity of demand

Potential business frameworks – market sizing



 Most frequently used

Top down

- Size of population
- Break down by characteristics (% of people in particular demographic)
- Usage

Bottoms up

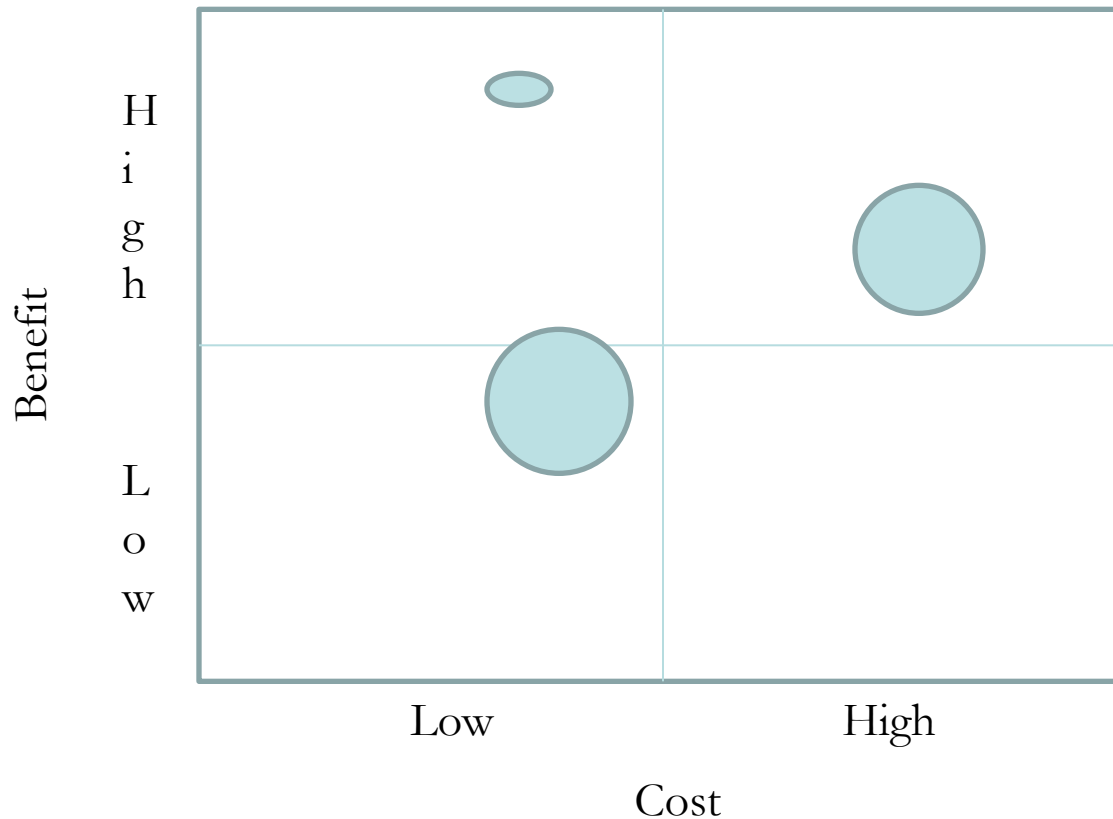
- Local level
- Usage
- Gross up

Related concepts:

- Market segments and usage patterns
- Cyclical business
- Similar industries

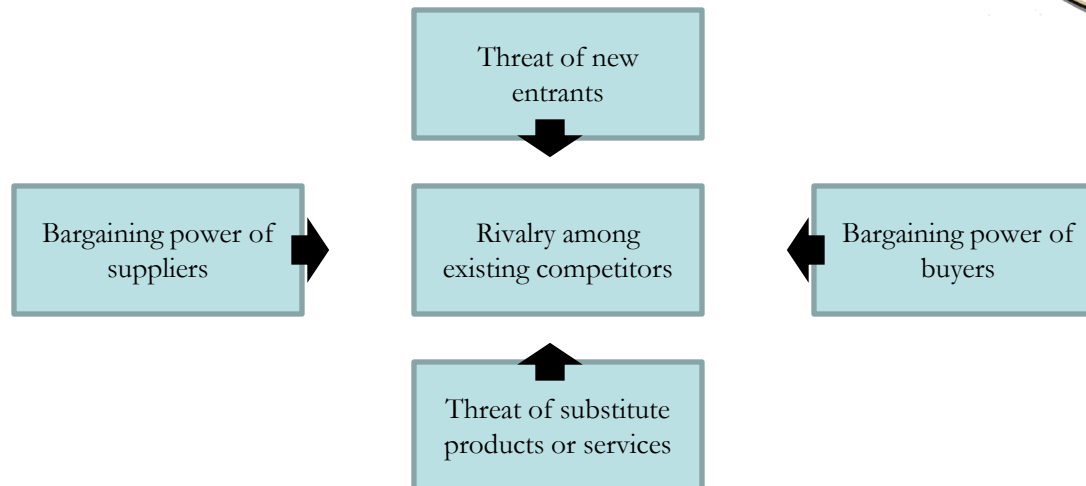
Potential business frameworks – cost/benefit or risk/reward

Applicable: prioritization problem



Potential business frameworks – Porter's 5 forces

Applicable: market attractiveness or evaluation of company's strategic position problem



Related concepts:

- Switching costs
- Complementary industries and products
- Economies of scale

Potential business frameworks – SWOT Analysis

Applicable: evaluation of a new opportunity problem



	Helpful	Harmful
Internal	Strengths	Weaknesses
External	Opportunities	Threats

Potential business frameworks – 4C's

Applicable: business strategy and new market opportunity



- **Customer**
 - Who are they?
 - What are their needs? Are those needs changing?
 - Can the customers be categorized in a useful manner?
- **Competition**
 - What are they up to? Are they changing prices, volume, or location?
 - What advantages do they have? What disadvantages?
- **Cost**
 - What are the major costs? Fixed and variable?
 - How do they compare to competitors?
- **Company**
 - What are your mission and objectives?
 - What differentiates your company from others?

Potential business frameworks – 5 P's

Applicable: marketing and new product development



- **People**
 - What are your customers needs? What drives their needs?
- **Product**
 - How is it differentiated?
 - What are the benefits?
- **Price**
 - How is it priced?
 - How elastic is the demand?
- **Place (distribution)**
 - What are your distribution channels?
 - Are these the right channels for the customer base?
- **Promotion**
 - What is your marketing strategy?
 - How and where will you promote it against the competition?

Consulting interview resources



- *Join a case interview study group or sign up for a consulting case competition through the University of Chicago Consulting Club (UCCC) - uchicagoconsulting@yahoo.com*
- *See a CAPS counselor* who specializes in consulting or *book a mock case interview with the CAPS practice interviewers* – Call 773.702.7040 to make an appointment
- *Practice consulting interviews through InterviewStream* – This online tool allows you practice consulting interview questions anytime, anywhere! Use your webcam to record your responses, watch them (re-record them if you want) and send to mentors or counselors for feedback. Login to CCC and click InterviewStream on your Home page
- *Attend CAPS consulting programs - <https://caps.uchicago.edu/events/calendar.html>*
- *Take sample case interviews on employer websites*